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AMARDEEP SINGH BHATIA
SECRETARY, DPIIT



“Given the combination of the government incentives and the fact that the local markets are big enough to attract some of these foreign investors, we are quite optimistic that things will improve over time”

MAHESH NANDURKAR
MD & HEAD OF RESEARCH, JEFFERIES INDIA

in a recent report by credit rating agency Moody's, which pointed out that the manufacturing sector's share of economic activity has stagnated. "At 13% of GDP in 2023, manufacturing's share of aggregate economic output has fallen compared with five or 10 years ago, despite prominent efforts to stimulate investment into the sector and diversify the economy and employment away from agriculture and low value-added services," said the report, adding that aggregate FDI inflows have eroded since peaking in FY21 with manufacturing accounting for a

smaller share of such flows.

However, Bhatia is confident that manufacturing growth will pick up. "Services has remained a strong contributor the economy but the share of manufacturing sector has not gone down," he says, adding that the sector is picking up despite the sharp impact of the Covid-19 pandemic. "Value addition in manufacturing has picked up and sentiments around manufacturing have changed. More people are interested in entering the sector," he says, adding that the government is working on getting technology and technological up-

gradation along with investments. He highlights that investments in smartphone manufacturing, automobiles and semiconductors are just some of the success stories of these endeavours.

The DPIIT is also working on a framework to take manufacturing into Tier II and III towns where labour and land costs are lower and which could lead to more employment opportunities in these areas. Discussions are on with industry bodies and states in this regard, Bhatia explains.

Mahesh Nandurkar, MD and Head of Research at investment banking and capital markets firm Jefferies India, warns that electronics could become the second oil given the rapid rise in imports in the sector. However, he adds that the private sector is already in the midst of a capex upcycle.

Acuité's Chowdhury says that while there has been some increase in private investments in manufacturing, it is still not significant. According to RBI data, banks had sanctioned new projects worth ₹3.91 lakh crore in FY24 of which roughly 55% were in infrastructure and the remaining were largely in manufacturing. "However, there has been huge fundraising by companies from IPOs this fiscal and debt sanctions have also picked up. Taking all this into consideration, we expect private investments to see a significant pick up by next year," he says.

While experts may differ on the specifics, almost all agree that a pick-up in private investments and domestic manufacturing is in the works. Along with all the measures already in play, the ambitious industrial smart cities could well give wings to India's manufacturing dreams over the next few years. **BT**

@surabhi_prasad